

Caution—This information has been obtained from sources believed to be reliable but is not guaranteed.

INVESTOR'S GUIDE STOCK REPORTS

(Copyrighted and Published by Standard Statistics Co., Inc., 345 Hudson St., N.Y.)

OUR DISCUSSION IN THE 1934 EDITION

It is evident that the advice to hold Baldwin Locomotive and to sell Beatrice Creamery shares was based predominantly upon the view that the prospects of the locomotive business were good and those of the dairy industry were poor. With respect to the former it is implied that the improvement will continue for a number of years; in the case of Beatrice Creamery it is not clear whether the statement that "recovery promises to be slow" presages a delay of months or of years.

The approach of the securities analyst towards these two common issues, if based upon the principles and technique developed in this book, would be quite different from—in fact, almost the direct opposite of—that indicated in the "Stock Reports" given above. The analyst's initial reasoning as to Beatrice Creamery would run somewhat as follows: "Current conditions are known to be unfavorable and the near-term prospects are generally considered unfavorable also. The price of the stock has declined substantially. Is it possible that the shares may have intrinsic or permanent value considerably in excess of the current low price, which is governed by the current situation?"

In the case of Baldwin Locomotive, his reasoning might well run in the contrary direction:

"The company's prospects are decidedly better for 1934 than they were for 1933 and 1932. However, the stock is selling at five times the low price of 1932. Are these prospects favorable enough and dependable enough to make the common stock attractive at its current price, in view of the very unsatisfactory record for the past ten years?"

In developing the answer to these questions a statistical analysis somewhat along the following lines would be in order. (These data are not presented as a "comparison" of Baldwin and Beatrice in the ordinary sense, but rather as an aid in arriving at *separate* analytical conclusions in respect to each issue.)